

AIG, Lehman Shock Hits World Markets

... Moves to Fate of Giant Insurer After U.S. Allows Investment Bank to Fail; Barclays in Talks to Buy Core Lehman U...

... convulsions in the U.S. fi-
... systems sent markets
... the globe tumbling, as
... Wall Street's biggest
... and set to exit the scene
... ception American In-
... by Susanne Craig,
... tiffrey McCracken,
... on Bloomberg and
... Deborah Solomon

... Group Inc. turned to
... Federal Reserve and the
... New York for assistance.
... U.S. stock market suf-
... worst daily point plunge
... first day of trading after
... t. 11, 2001, terrorist at-
... tacks and the resulting
... financial crisis were re-
... the rushed sale Sunday of
... rynch & Co. and the bank-
... court filing of Lehman
... Holdings Inc., which
... led Monday to sell its
... zed businesses before
... employees and custom-
... out the door. (Please see
... article on Page C1.)
... ay Monday, top Lehman
... were huddled in Man-
... at their Seventh Avenue

... 21 Monday 15 September 2008

... For much of the day, the ma-
... jor U.S. market indexes were
... down 2K, which, while a good-
... sized decline, was smaller than
... many had thought would be the
... case. But in the final hour of trad-
... ing, a wave of selling hit, driven
... by concerns about the fate of
... AIG. The Dow Jones Industrial
... average ended down 504.48
... on Monday, off 4.4%, at a
... low of 10927.51, down 100
... year. Of the Dow ind-
... components, all but
... Coca Co.—fell, in-
... plunge in AIG.

... In Europe,
... 100 index dropped
... Asian market
... and China, where
... due to hold-
... lyo shares
... early trad-
... King Seng

... Monday
... est follow-
... cial crisis
... with the fi-
... ing prices
... the U.S. fi-
... moved by
... to expose it



AIG Faces Cash Crisis As Stock Dives 61%

By MATTHEW KARNITZ
LIAM FLEMING
AND SERENA NG

American International Group Inc. was facing a cash crunch last night as re-
... agencies cut the firm's credit
... tapt, forcing the giant insur-
... raise \$14.5 billion to cover li-
... gations.

With AIG now tottering,
... sis that began with falling
... prices and went on to engulf
... Street has reached one of
... world's largest insurance co-
... ries, threatening to intensify
... financial storm and greatly
... elicitate the government's

WALL STREET IN CRISIS

Lehman Bros faces liquidation
AIG in emergency asset sell-off



Emergency Session of the 110th US Senate

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Letter From The Executive Board

“Democracy cannot succeed unless those who express their choice are prepared to choose wisely.”

Greetings Delegates,

Welcome to the specialised body, the Emergency Session of the 110th United States Senate. This profound reflection from Franklin D. Roosevelt is something that we encourage you to keep in mind as you debate the economic and political commitment resting on your shoulders.

This year, for the 14th iteration of the Sanskriti Model United Nations, the agenda for the Specialised Committee will be the 2008 Financial Crisis, also referred to as the *Great Recession*. In accordance with the freeze date, that is, the midnight of 15 September 2008, the *Lehman Brothers*, a seemingly indomitable titan of Wall Street, has filed for bankruptcy.

Now, an impending financial crisis stares the American economy in the face like a raging bull, ready to knock it over. Furthermore, the looming war in Iraq grows more turbulent by the second. At this crucial juncture, as the Senators of the United States of America, the question before you is: where is America’s economy heading, and what shall be its fate?

The committee lies at a riveting intersection of politics, economics, and war. For all those who enjoy debating and are interested in the theatrics of American politics, this committee provides you with an excellent opportunity to be involved in challenging yet thrilling decision-making in a legislation-infused environment. The added aspect of questioning stakeholders will also contribute significantly towards committee progress.

Every thought and view that is put forward, whether it be practical, cautious or imaginative, will be respected and given due consideration. As delegates, we expect you to come thoroughly researched on your portfolio, understand the crises presented to you during committee sessions and lobby well with fellow delegates to formulate plans and strategies, and draft comprehensive paperwork to shape the committee. We welcome you all, experienced debaters and rookies alike, with open arms and with warmth! The EB

wishes you a happy three days of gaining knowledge about the agenda and making memories that will last you a lifetime.

For the future that rests in your hands,
The Executive Board.

“It’s not the plane, it’s the pilot.”

- Top Gun: Maverick



Greetings, distinguished Delegates!

It is my pleasure to welcome you all to the Emergency Session of the 110th US Senate at SMUN 2026. I will be serving as your Director for the 14th iteration of SMUN. I am Vedant Prakash, and I am currently in Grade 12 with the subjects being Physics, Chemistry, Maths, and Economics (my personal favourite has to be Economics). My SMUN journey began fairly late as compared to others, when in 8th grade, a clueless and scared me stepped into the shoes of leaders fighting for American Independence. This experience further developed into a passion.

Outside of committee, I have a diverse range of interests. I love watching TV Shows; my favourites have to be Dexter and How I Met Your Mother. Besides, I also love to watch movies, and my favourite movies have to be Eyes Wide Shut and Jerry Maguire. You can also find me trying to replicate Dhoni’s helicopter shot or trying to master Kobe’s fadeaway! I have a very diverse range of music tastes, ranging from artists like Frank Ocean to my personal favourite, Drake.

Delegates, you must understand the gravity of the situation. America is amidst a financial crisis, which has put the American Economy in freefall. Our brave soldiers are currently fighting a war in Iraq that is deeply unpopular amongst the American civilians. Desperate times require desperate measures, and the delegates will be expected to work together and formulate solutions, as the future of the American economy now rests on your shoulders.

Whether you are a “seasoned MUNer” or a rookie, you will walk away from this committee with a richer and newer interpretation of the agenda and invaluable experience and memories. Please do not be scared to take a risk in committee and do remember the Executive Board is always there to help you whenever needed! The Specialised Committee has always been a very memorable experience for me, and I aim to create that same environment for all of you alongside my Co-Director, Kunal, and my Additional

Directors, Aarav and Arnav! A small friendly piece of advice for the committee, submit paperwork and deliver groundbreaking speeches and most importantly, watch your back. Best of luck!

Audere est faucere

Until April,

Vedant Prakash

Director, *Specialised Committee*

Director-General Outreach, *Sanskriti Model United Nations*

"Started from the bottom, now we're here."

- Aubrey Drake Graham, Album: Nothing Was The Same.



Greetings Delegates, I'm Kunal Aggarwal, your Director for this committee. I'm from the Science stream with subjects Physics, Chemistry, and Biology. When I'm not stuck in the academic grind, I'm a big fan of cars and watches, so if you ever need to talk out about cars or chronographs, I'm your guy.

My MUN journey began in 9th grade, and I can still vividly recall my first committee experience, which was painful for all the wrong reasons. I felt incredibly frightened. I arose in the early morning, anxious and excessively contemplating each presentation. Indeed, I committed more errors than I can tally. Yet despite all of this, I went on to win that very conference that claimed to be the largest in India that year, a moment that taught me early on that growth often begins under pressure.

With time, I evolved from a nervous novice to a self-assured delegate, ultimately achieving consecutive Best Delegate honours at Intra SMUN and earning top awards at Inter SMUN, along with recognition at conferences in Delhi and beyond. I gained my confidence through tough experiences, which is why I appreciate accuracy and depth.

Now sitting on the Executive Board feels like a natural continuation of the same journey many of you are on. I expect delegates to enter the committee room as thinkers and individuals who are ready to question and engage deeply. I am here to establish the tone, elevate expectations, and ensure this committee is unforgettable.

The committee's agenda is the 2008 Financial Crisis. It was a moment when financial systems failed, and economic stability across the world was shaken. What began in housing and credit markets soon spread to banks, governments and households. This agenda focuses on why the crisis occurred and how states responded when markets stopped working. The discussion in this committee will centre on restoring stability and preventing such failures in the future. This committee is a space to perform intellectually. The Executive Board is here to facilitate strong, structured debate and help the committee move forward constructively. I hope every delegate leaves this room having defended their stance with logic and engaged confidently with opposing viewpoints in the true spirit of diplomacy.

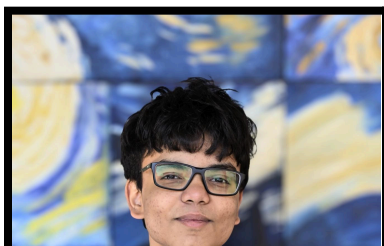
I think a good conference is not about fiery speeches or witty remarks (although they are cool). It's about learning to think more critically.

See you in session.

– Kunal Aggarwal, Director, ESUS

“The Vision won’t let me sleep”

- Lewis Hamilton



Greetings Delegates,

It is my delightful privilege to welcome you all to the Emergency session of the 110th US Senate at SMUN 2026. I will be serving as your Additional Director for the 14th iteration of SMUN. My name is Aarav Mishra, and I currently study in 11th grade with my subjects being Economics, Political Science, Business Studies and Mathematics. The adventurous journey of my SMUN experience began in 8th grade, when I, who was someone not just new to school but also to the glamour of SMUN, made my way to my very first taste of the SMUN experience, where I meticulously navigated through the challenges faced by the Ad-hoc committee of Indian ministers while debating on the tragedy of the Nellie Massacre.

Aside from being an enthusiast of debate and diplomacy, I have a diversified variety of interests. Whether it be from the first time I watched my television listlessly, just enjoying the red cars spinning around, to my now fit of rage after watching Ferrari throw away any championship hopes down the drain, Formula 1 has always been my primary excitement. I quite enjoy TV shows too, especially deep thrillers like The Sopranos, amongst various others. I greatly enjoy history-based thrillers such as Dunkirk, Kingdom of Heaven and Inglorious Bastards inclusively. When it comes to music, I have always been a passionate soul, primarily indulging in pop rap, with my favourite artist being Kanye West. Nevertheless, I take great delight in old classics such as beautiful songs of the great Frank Sinatra and also like some rock music, with my favourite band being Nirvana.

Now that everything about my interests are out of the way, let's focus on the real deal, which is you, the delegates. Delegates, I implore that you think not just of real-world practical solutions but also understand the impact of this situation and the trajectory along which it could take America. The American economy has suffered its hardest blow since the great depression and now stands amidst a disastrous crisis. The housing bubble built on feeble loans has burst, washing many away with it. Our heroic troops are still stationed in Iraq, which is a momentous issue almost all Americans want strict action on. Whether you are an amateur or a master of MUNs, this committee welcomes you with open arms and promises to deliver an unforgettable experience. Remember, Delegates, the deck is stacked, and the cards are rigged. The United States is the crowning jewel of economic stability, and that jewel has just been struck with the blow of a chisel. In your hands, not mine, lies the verdict of this 232-year-old nation in all the glory of its people.

Until April,
Aarav Mishra,

Additional Director,
Specialised Committee



The only thing I know is that I know nothing.”

– Socrates

Greetings Delegates,

My name is Arnav Gupta, and I will be serving as your additional director for the Specialised Committee at this

iteration of SMUN. Although I am a science student (PCMB), my interests extend well beyond science textbooks, especially into politics and economics.

I participated in my first MUN in Class VIII. I remember sitting there completely clueless, sweating even in a fully air-conditioned hall. From messing up the points to struggling with motions, innumerable mistakes were made that day. Regardless, it taught me something crucial: confidence in MUN isn't just innate; it's something you earn and build yourself. From then on, I grew to become a more composed delegate, gaining valuable experience and achieving distinction in multiple conferences across India. Though challenging, every conference has been a memorable and formative experience, and I ensure to make this one the same for you.

Outside committee rooms, I am an avid quizzer and enjoy public speaking. My other interests range from Formula 1 to astronomy to anime. On most days, you'll find me keeping up with current affairs, trying to deliver the perfect backhand on the court, or just lost in another RPG. I like my work serious, my debate sharp, and the atmosphere focused yet relaxed.

Now, onto the agenda.

Delegates, you are stepping into a critical moment defined by unprecedented economic instability and complex geopolitical tension. This crisis has been brewing in plain sight. The collapse of the subprime mortgage market has sent shockwaves through Wall Street, destabilising financial institutions and eroding public trust and market confidence. Simultaneously, war continues unabated in Iraq, with Americans increasingly seeking an end to it all.

You therefore face the dual challenge of addressing the immediate financial crisis while making decisions that will shape the trajectory of the American economy. Beyond restoring economic stability, you must evaluate difficult fiscal choices and simultaneously determine the course of action to be taken in Iraq. The stakes are high, and the time is limited. Yet, you will be required to take action, as after all, history is unforgiving to indecision.

There are no safe answers here. Research thoroughly, think critically, question everything and defend your positions with clarity and conviction in your own voice. More importantly, engage genuinely and enthusiastically with the committee and each other.

This committee will be both challenging and rewarding, leaving you wiser than when you began.

I look forward to seeing how you rise to the challenge.

See you in April,

Arnav Gupta,
Additional Director,
The Specialised Committee

How to Use This Background Guide

Delegates, you are advised to approach this document as a working resource rather than a formality. It has been written to be studied properly, not just to be skimmed. While reading it, if you feel like you have any questions, then please feel free to reach out to us on our email.

Delegates are advised to read this whole document in detail and follow the order of the chapters. The chapters have been sequenced deliberately. The regulatory failures explain the Wall Street crash. The Wall Street crash explains the government's response. The government's response sits inside a political context shaped by the Iraq War, a presidential election six weeks away, and an administration with a 31% approval rating

asking Congress for the largest financial commitment in American peacetime history. These threads are connected. Delegates who read selectively and hope the picture assembles itself will find that it does not.

Delegates are advised to return, after the full reading, to the chapters most directly relevant to their assigned portfolio. The State-by-State Consequences chapter is not background decoration. It is the reason each senator in this room holds the positions they hold. Senator Reid of Nevada and Senator Baucus of Montana are not interchangeable Democrats. One represents a state where one in every ninety-one households received a foreclosure notice in August alone. The other represents farmers watching their seasonal credit dry up through a banking system locking up in real time. That difference should be audible every time either delegate speaks. If it is not, the portfolio has not been understood at the level this committee demands.

Delegates are strongly advised to read the Government Response Mechanism chapter and the Regulatory Failures chapter with particular care. These are the most technically demanding sections in the guide and also the most consequential for the quality of debate this chamber is capable of producing. Delegates who understand what Section 13(3) of the Federal Reserve Act actually authorizes, who can articulate the constitutional tension between the Fed's emergency actions and Article I Section 9 Clause 7, who know the difference between an asset purchase program and a direct capital injection and why that distinction matters for both the taxpayer and the rescued institution, will operate in this committee at a categorically different level. The emergency witnesses in this session are present to be questioned. Delegates who have done the work will know exactly which questions Ben Bernanke, Henry Paulson, Dick Fuld, and Christopher Cox cannot answer without conceding something significant. That preparation is not incidental to strong performance in this committee. It is the foundation of it.

The procedural chapters, the Committee Overview, the Introduction to the United States Senate, the Powers of the Senate, and the Why an Emergency Session chapter, exist to establish the constitutional and institutional architecture within which this body operates. They are not administrative filler. A delegate who does not understand what this chamber can legally do, under what modified procedures, and why those modifications were made, will draft paperwork the committee cannot enact and make arguments the session cannot act on.

This guide covers the situation as it stands on the morning of September

16, 2008. Please also note that this background guide should only be used as a learning document, it cannot be cited in committee especially during speeches and paperwork.

Committee Overview

The Specialised Committee is a dynamic component of SMUN that merges traditional MUN procedural rigour with the intensity of crisis committees, creating an atmosphere that demands both strategic planning and quick thinking. This committee's hybrid nature allows for a balance between solution-oriented discussions and engaging and impactful presentations, providing delegates with opportunities to showcase a range of skills.

In this committee, speeches are not simply formal presentations but an opportunity for delegates to creatively engage with their audience. Delegates are encouraged to infuse their speeches with a touch of drama or rhetorical flair, as long as it supports their arguments and enhances their message. This dramatic element helps them stand out by allowing them to break from convention while still advancing their positions effectively. A well-delivered, impassioned speech can be memorable and influential, setting one apart and keeping the committee engaged.

While speeches are key, paperwork in a specialised committee is equally vital. Paperwork should be meticulous, serving as the backbone of a delegate's stance. The quality of paperwork often reflects the depth of your research and understanding of the topic. Delegates are encouraged to make their paperwork engaging by adding relevant references or historical context, ensuring that it is not only factual but also compelling. Paperwork in this setting should demonstrate the delegate's ability to think critically and comprehensively, addressing potential issues with clarity and foresight.

Rhetorics are considered to be one of the most important components that one must include in their speeches and paperwork. They showcase the critical and creative thinking of a delegate in a high-stakes situation and also give a special touch to the speech or paperwork. In the Specialised Committee, most of the crisis updates are influenced by paperwork, which contains equal amounts of creativity, rhetoric, and facts.

Introduction to the United States Senate

The United States Senate, which is the Upper House of the United States Congress, has long embodied the principle of ensuring a 'sober second thought' in legislation. Widely considered to be one of the most important and influential legislative bodies, the Senate shapes policies whose effects extend far beyond domestic governance, affecting global banking systems, financial markets and other broader economic affairs associated with the world economy. Being a legislative body of such influence, all 50 states have equal representation in the Senate with it having a total of 100 members, i.e., 2

members representing each state. The Vice President of the United States of America serves as the presiding officer of the United States Senate and oversees its proceedings, ensuring adherence to established rules and decorum. In the Vice President's absence, the responsibility is assumed by a "*president pro tempore*". In accordance with the institutional powers vested in it by the United States Constitution, the Senate plays a crucial role in maintaining the traditional system of checks and balances by restraining potential overreach by both the Executive branch and the House of Representatives. Additionally, the

Senate is also responsible for providing advice and consent for Presidential nominations for important posts such as the Supreme Court Justices and other cabinet roles.

Taking into consideration the specialised nature of the agenda and its impact with the Eco-Fin affairs of the entire nation, the 43rd President of the United States (POTUS), namely President George W. Bush, acting under the authority vested in him in accordance with Article II, Section 3 of the U.S. Constitution, has called for an Extraordinary/Emergency Session of the 110th United States Senate. This session has been convened exclusively for deliberations on the ongoing financial crisis and other general Eco-fin related issues stemming from this agenda. Its ultimate objective is aimed at stabilizing the economy through urgent legislative and policy measures and mitigating the effects of the recession alongside keeping in view the restoration of faith of the citizens back into the American financial system.

Specialised Attendance: In light of the urgency and highly specialised nature of the matter, the Senate adopts a temporary procedural modification to expedite deliberations and improve legislative functionality to provide the arrangement of the summoning of certain specific senators, only on the authority of the presiding officer, i.e. the Vice President

which is a disparate of its traditional mandate for all Senators to have the opportunity to attend a session however, is legally ratified under specific circumstances in accordance with Article I; Section 5 of the US Constitution whereby “*Each house of Congress may determine the Rules of its proceedings, punish its members for disorderly behaviour and, with the concurrence of two-thirds, expel a member*”. This procedural modification stands out as an essential measure to address the crisis at hand with increased efficiency and to deliberate immediate solutions with an improved committee flow alongside concentrating focus on the specifics of the agenda. Accordingly, Senators who have been served with summons include members who hold direct relevance to the agenda especially matters associating the economic and banking aspects of the issue. Such members include individuals who are a part of the banking committee, nominees for presidential elections, which will be held in the coming months, amongst other various Senators representing different states and caucuses, including independents, to accommodate the mandate of all people living across the 50 states, thus ensuring uniformity and maintaining the key political framework of the United States Senate since the first dawn of independence itself. The Senate will be proceeding under unconventional procedural arrangements applicable only

to the Extraordinary/Emergency Session and has maintained an equal ratio of Democratic Senators to Republican Senators with there being a total of 28 Senators amongst which 13 each are Democratic and Republican and 2 are independents, thus ensuring equal representation of the broad ideological and political beliefs of the American citizens.

Passing of Bills: As per the traditional mandate of the Senate, for a bill to be successfully passed and turned into an official law, it has to be passed by both the Houses of Congress which leads to it subsequently being reviewed by the President, who holds the power to VETO the bill. If the bill has been vetoed, it is reconsidered by the entire chamber and can be overridden with a two-thirds vote. Under the specific temporary

modifications made to the procedures in accordance with the specialised nature of the agenda and the extraordinary format of the session, *all bills passed in the 110th Emergency Session of the United States Senate are hereby declared apodictic in nature* which implies that they have to be taken into consideration only by the Senate and not the House. This is merely and solely a temporary change and adaptation given the extreme duress under which the nation is in and hence deemed absolutely necessary to be mandated although notably, will still function under the democratic framework of the Senate to not compromise on ideological grounds. Additionally, the power to override the Presidential veto is removed with the veto power being shifted to the Vice President who will serve as the presiding officer of the session.

Powers of the United States Senate

The authority of the United States Senate is primarily derived from the United States Constitution. Article I of the Constitution vests vast legislative power in the Congress of the United States. As the upper chamber of the United States Congress, the Senate has a broad range of constitutional and institutional powers enabling it to legislate, oversee the executive branch, and address matters of utmost national importance. These powers form the very foundation through which senators shall deliberate upon this urgent national crisis presently confronting the United States.

However, under the procedural modifications adopted for this Extraordinary Session of the 110th United States Senate, the Senate's authorities shall be exercised through the following institutional pillars:

I. Legislative Authority

The Senate serves as the central legislative body responsible for formulating and approving emergency fiscal and regulatory policy. Under the procedural arrangements governing this Extraordinary Session, the traditional bicameral legislative processes have been temporarily modified to expedite legislative action and enactment.

Considering the urgent nature of the agenda, this temporary modification to the typical bicameral procedure is necessary to make the Senate's response mechanism much faster and more efficient.

1. Two-Thirds Sovereign Approval:

For the purpose of this simulation, a bill passing with a two-thirds majority in the Senate alone is transmitted directly to the President for review.

2. Bypassing Filibusters: To ensure that the Senate functions efficiently and can take decisive actions required by the urgency of the situation, this session does away with traditional cloture hurdles that typically require 60 votes to end debate. This allows the two-thirds majority threshold to effectively bypass such hurdles and represent consensus.

Furthermore, under Article I of the Constitution, Congress retains authority to regulate interstate commerce and the stability of the national financial system. Through legislative action, the Senate can establish regulatory frameworks to govern financial institutions, authorize emergency fiscal interventions, and reform existing financial oversight mechanisms. Historically, Congress has exercised these powers during moments of economic distress to restore stability and public confidence in the financial system. Thus, these legislative powers provide the Senate with the institutional

capacity to formulate national responses in accordance with the crisis at hand.

II. Advice and Consent

Located in Article II, Section 2, Clause 2 of the Constitution, the Senate has the power to "Advice and Consent" government actions and decisions. This provides a way to ensure an essential check on the Executive branch while allowing the Senate to shape executive policy indirectly through key personnel appointments. The Senate holds exclusive authority to confirm the President's nominees for pivotal roles in the government, including the Secretary of the Treasury, the Chair of the Federal Reserve Board of Governors, Supreme Court Justices, and all other Officers of the United States.

III. Oversight and Investigative Powers:

In addition to its legislative role, the oversight authority of the Senate is of significant value. Oversight allows senators to examine whether executive agencies and regulatory bodies are implementing federal law effectively and acting in the national interest. This inherent authority enables the Senate to investigate the origins of national turmoil and ensure governmental and institutional accountability.

1. Specialised Summons and Emergency Witness Testimony:

The Senate, through its committees and investigative authorities, can summon specific Senators, financial regulators, executive officials, and private sector leaders to furnish immediate expert testimony that is essential to understanding the crisis. The Senate can ask these individuals to provide clarification on their actions and on ongoing developments in the financial system. Owing to the special nature of the Emergency Session, certain individuals will serve as both emergency witnesses and members of the committee. Though these individuals can partake in the floor debates and discussions, they do not possess the authority to vote for/against resolutions and motions, effectively serving as “Delegates” and having their voting rights restricted. Therefore, Senators possess a distinct investigative authority to understand the structural causes that have contributed to the ongoing economic collapse and determine the extent of legislative action required, while also ensuring accountability.

2. Investigations: Senate committees possess the power to subpoena and request documents and examine evidence to obtain any relevant information necessary for legislative action.

IV. Treaty Ratification

Any pacts or treaties negotiated to stabilise credit must receive the Senate’s “Advice and Consent”. Given the global implications of the present financial crisis, the Senate plays a monumental role in stabilising the fallout abroad and at home, and further, ensuring coordination with international bodies.

V. Appropriations

One of the most significant powers of the Senate lies in its authority over federal spending and appropriations. *Under Article I, Section 9, Clause 7 of the Constitution*, no money can be drawn from the Treasury except through appropriations made by law, thereby establishing Congress’s “power of the purse”. Consequently, the Senate plays a decisive role in authorising the emergency government expenditure, financial stabilisation funds, and federal relief mechanisms.

Through this authority, the Senate has the power to approve emergency fiscal allocations, authorise federal intervention in financial markets, and determine the scale as well as the structure of any economic rescue measures deemed necessary to restore stability.

VI. War Powers

Military operations, actions, and their conduct fall primarily under the ambit of the Executive. The Senate, however,

does possess various constitutional and institutional powers relating to topics of national security and military affairs. *Article I, Section 8 of the Constitution* enumerates specific legislative powers granted to Congress that include taxing, borrowing money, regulating interstate commerce, coining money, and declaring war. This provides Congress with a way to appropriate funds for military operations.

The Senate, thus, has to take into consideration the role of the ongoing Iraq

War in the economic crisis. Senators will have to deliberate upon fiscal policy and emergency economic responses simultaneously with actions concerning national security and military commitments in Iraq, as economic instability can have consequences on the government's ability to sustain military operations.

Why An Extraordinary/Emergency Session

The Senate, on most days, moves slowly by design. Bills are set in committee for weeks. Floor debates stretch across multiple sessions. Getting sixty votes just to end the debate is its own battle. None of this is accidental. A legislature that can be rushed is a legislature that can be manipulated, and the framers knew that.

The Senate's procedural architecture was not built for the Monday morning of September 15th, 2008. Lehman Brothers was gone before most of the Americans had their morning coffee. AIG was hemorrhaging and calling Washington for help. Credit markets were frozen. The President had to act as the situation was

worsening by the hour. A normal Senate session could not accommodate that. The calendar was full; the filibuster was sitting there, available to anyone who wanted to run out the clock. Sixty votes in a chamber divided on a bill this controversial, in a window this narrow, was impossible. The extraordinary/emergency session exists because the alternative was watching the ordinary rules of the Senate procedure outlast the financial system itself.

President George W. Bush convened this session under Article 2 of Section 3 of the U.S. Constitution, under which he is given the executive authority to call

Congress together in extraordinary circumstances. However, to ensure an efficient Senate session and preserve the American economy, certain procedural modifications are required, as outlined in the preceding chapters.

Article 1, Section 5 of the United States Constitution allows the Senate to govern its own proceedings, and that authority has been used here to implement specialised attendance. That is, instead of summoning all 100 senators, only 28 were summoned. This has been done to create a workable room, not an empty gesture at full representation. Seven emergency witnesses have been summoned to be a part of the extraordinary session of the 28 senators. These emergency witnesses are:

- The Secretary of the Treasury
- The Chair of the Federal Reserve
- The President of the Federal Reserve Bank of New York
- The Chairman of the SEC
- The CEO of JPMorgan Chase and Co
- The CEO of Lehman Brothers
- The CEO of Standards and Poor's

They are here because the Senate needs answers from the people who either caused this financial crash or failed to

stop it. More pressingly, we need solutions from those who are still in a position to offer them. They can be questioned; they can be pressed. What they cannot do is vote. Their role is to inform the deliberation, not control its outcome.

This extraordinary session operates as a committee of the whole. The Banking, Housing and Urban Affairs Committee, the Finance Committee, the Armed Services Committee, and every other relevant oversight body do not convene separately. The jurisdiction falls to the floor of this extraordinary session. Every senator present brings whatever investigative and legislative authority they hold across those committees and uses it here directly without referral. The normal requirement that both chambers clear legislation before reaching the President has been set aside for this session. A two-thirds majority in the Senate sends a bill directly to the President, and the clotures have been removed. The procedures and rules have been adjusted; however, the stakes remain the same. What happens in the chamber will determine the future of not just the American Economy but also of the Global Economy.

Consequences of the Lehman Brothers Crash

The Lehman Brothers, widely regarded as one of the crucial titans of investment banking, crashed in September of 2008, with assets valued roughly at \$600 billion. With them officially filing bankruptcy on the cold, dewy morning of September 15 of 2008 and becoming the main trigger of a mighty period of trials and tribulations for the American economy, alongside ensuing a snow-ball effect which caused mortgage-backed securities to lose immense value, their actions were accompanied by tremendous consequences on both the domestic and international markets. The following listed consequences include

real time ones that have already occurred following the opening of the market on September 15, which could cause widespread turmoil and panic.

- 1. Tremendous effect on Lehman Brothers stock** - In the weeks leading up to the major crash on September 15, all stocks belonging to the Lehman Brothers Holdings Incorporation listed on the New York Stock Exchange (NYSE) under the ticker symbol LEH had suffered major setbacks, losing roughly 77% of its original value and hardly scraping in the

market, being nowhere near retaining its value or position in the stock market ending the day with 93% loss of market value. On September 9, shares had previously plunged 45% to \$7.79 and continued to drop as takeover talks with Barclays and the Bank of America failed, thus causing massive sellovers in the market, thereby destabilizing it and also resulting in tremendous losses for all stockholders in particular and the stock market in general. The final nail in the coffin were the intense but failed negotiation talks between top banks and the Federal Reserve, which took place over the weekend of September 13 and 14. Lehman's collapse roiled global financial markets and erased a firm with \$639 billion in assets and \$613 billion in liabilities. Simultaneously, Merrill Lynch agreed to be acquired by the Bank of America for approximately \$50 billion, thus preventing another immediate major collapse on Wall Street.

2. Historic Crash of US equity markets and stock market indices - Following the announcement of the bankruptcy of the Lehman Brothers, the opening of the market on

September 15 marked historic crashes in the equity markets and several stock market indices which reflected panic in Wall Street across financial, industrial and technological sectors as investors reacted to systematic banking risk, thus losing great faith in the financial system and further deteriorating the ongoing crisis at hand. Major US stock market indices suffered heavy losses, with the most prominent amongst them being the Dow Jones Industrial Average (DJIA), which fell 504.48 points (-4.4%), closing at 10,917.51, which marked its largest point drop since markets re-opened after the 9/11 attacks. The S&P 500, widely renowned as the most stable investment and a beginning point into the world of stock market indices, also took a massive hit, dropping 58.74 points (-4.69%), closing at 1,192.96 points, its lowest since 2001, thus immensely affecting the faith and finances of common US citizens. This was accompanied by the NASDAQ composite, another major stakeholder in the world of stock market indices, declining a total of 81.36 points (-3.6%), closing at 2,179.91, thus marking another major blow to the United States financial system. In the

following weeks, markets all around the world are at a possible risk of losing \$10 trillion in market value, thus triggering a full blown economic meltdown if efficient crisis management is not put in place

3. Collapse of Major Financial

Institution share prices - Post the collapse of Lehman Brothers, the faith of the people into the stock market in general and the shares of other financial institutions in particular plummeted, which led to a general widespread loss and decline in the stock prices of all financial firms, especially those which were associated with investment banking, thus causing widespread losses to other Wall Street titans. One of the most prominent examples of such major losses was the American International Group (AIG), whose stocks were hit with a hard blow, falling 61% in total and thus suffering immense personal losses as well as investor risks. Such a sharp loss astutely emphasises the fact that the insurance giant may face a severe liquidity crisis due to its exposure to credit default swaps linked to mortgage backed securities. Other declines in the share prices of banking firms

include Goldman Sachs, which fell roughly 12%, Morgan Stanley, which dropped about 14% and Bank of America, which fell around 21% alongside Wachovia, which declined approximately around 25%. This immense decline across various giants of the banking sector, once considered impenetrable, deeply reflects the public's perception of the matter as not an isolated bankruptcy but rather, a systematic financial contagion which poses a risk to the American financial and banking system from the inside-out. US stock market capitalization before the crash was roughly \$15 trillion, and by the end of September 15, as per informal rough estimates, markets had lost somewhere around a whopping \$1 trillion in value, thus wiping \$1 trillion worth of US equities and funds.

4. Shell-shocks suffered by

European Indices - The fact that the impact of the fall of the Lehman Brothers was not just limited to the United States cannot be any more evident after the behaviour of the European market indices throughout September 15, following the opening of markets. Several indices across Europe suffered

tremendous losses as investors realised that European banks had extensive exposure to U.S. mortgage securities and derivative contracts related to the Lehman Brothers. This widespread panic caused immediate mass sell-offs, which resulted in the stock market throughout Europe and its various indices taking a pretty hefty dip. The most outlying of these was the FTSE 100 (London), which fell approximately 3.9%, alongside the CAC 40 (Paris), which declined roughly 3.7%, accompanied by DAX (Frankfurt), which dropped about 2.7%. Although being at an entire ocean's distance, the Lehman Brothers collapse shook the very foundations of markets all across Europe and other parts of the world, thus reflecting a common fear that Lehman's collapse would destabilize Financial institutions.

5. Declines in emerging and Asian market indices - Both emerging and Asian markets were also affected by the collapse of the Lehman Brothers as the financial crisis began spreading across global financial networks. The impact of the collapse on Asian markets clearly illustrated the fact that even markets that have limited exposure to U.S. mortgage

securities are still greatly affected due to their strong interconnection with the global financial networks and also due to their immense reliance on global capital flows and international banking networks. Although some major markets such as Japan and Hong Kong were closed due to public holidays, regional markets nevertheless reacted strongly. Few major emerging markets included the Taiwan benchmark index which dropped 4.1%, being greatly reliant on U.S. aid and support, the BSE Sensex (India) which dropped approximately 3.4% staying fairly balanced in order to balance between self sufficiency and newly liberalised markets, alongside Singapore's market, which fell around 3.2%. These declines showcased how investors slowly withdrew capital from emerging markets and sought liquidity amid growing uncertainty.

6. Oil Prices dropped amid recession fears - Aside from the financial and banking aspect of the global international market, the commodity markets also reacted strongly to the collapse of the Lehman Brothers and the onset of a possible recession which could lead to widespread

instability and uncertainty. Many investors anticipated that a global recession could follow the collapse of major financial institutions. For the first time since March of 2008, crude oil prices fell below \$100 per barrel, closing at a price of \$95.71 per barrel which marked the lowest closing price point in six whole months. It was a firm reminder that reduced industrial activity and slow and stagnant economic growth would cause a shortcoming in the global demand for energy in general and crude oil in particular. There is a high probability that financial instability might very well lead to broader economic contraction.

- 7. Surge in Gold prices as means of crisis hedge** - Since the very beginning of an organised financial and economic trade world order itself, gold has been any individual's safest bet, no matter what issues might arise related to any aspect of the market. Following this centuries

old tradition and in deep contrast to the crude oil commodity market, gold prices throughout the United States and global market have surged significantly as people hedge their bets on it anticipating a major recession. Due to gold's role being independent of any financial institution or government in the world, it has acted as an unfailing asset during periods of vast financial instability, even in the past such as the 1970's stagflation crisis, the 1997 Asian financial crisis amongst many more examples. As financial panic spread, investment in precious metals rose immensely as means of protecting wealth from banking or governmental collapse, thus surging gold from \$764.45 to \$787.20 per ounce, therefore having an increase of \$22.75 per ounce which is approximately around 2.9-3%.

Regulatory Failure and Negligence of the Government

The Build-Up to the Financial Crisis

The economic strain America faces presently did not begin overnight. Though the mask shattered on 15 September 2008 due to the failure of the Lehman Brothers, the cracks had started forming long before this day. Growth in U.S. banking surged ahead during the period preceding turmoil. Home loans multiplied faster than ever observed earlier. Instruments linked to property values became more layered and firms kept pushing boundaries. Few realised how fragile the system had already become. Still, signs of trouble emerged slowly despite steady borrowing trends. At first glance, confidence seemed firm and almost unshakeable. However, weak oversight and poor decisions quietly built pressure behind the scenes.

Stability within the financial system falls under the oversight of multiple federal agencies, the most distinct of them being: **the Federal Reserve System, the Securities and Exchange Commission (SEC), and the United States Department of the Treasury**. Alongside these three, specialised bodies like **the Office of the Comptroller of Currency and the Federal Deposit Insurance Corporation** focus on banking supervision. Created during varied historical phases in different periods during national development, these bodies' shared aim centres on preserving order, openness, and balance in financial operations nationwide. Oversight includes tracking institutional behaviour, upholding compliance rules, handling

broad economic threats, and stepping forward whenever disruption looms. In theory, duties appear straightforward; reality introduces layers of difficulty.

Before the recent downturn began, oversight duties faded under certain political decisions and structural flaws. Not only did financial systems shift rapidly, but supervision struggled to keep pace. Emerging tools were difficult to track, let alone control. Products like mortgage-linked bonds, packaged debt claims, and intricate offshoots spread through worldwide exchanges. These were often rooted in bundles of home loans, including an increasing share tied to risky lending toward individuals with weak repayment histories.

The Rise in Risky Lending and Financial Deregulation

The surge in risky home loans came to be called the subprime mortgage crisis. Starting in the early 2000s, falling interest costs along with growing buyer appetite led banks to lend freely to people once seen as poor credit choices. A large share of these loan deals included shifting interest terms, small starting instalments, or minimal checks on how much money applicants earned. These methods were not in clear violation of the letter of law, yet they exposed both, lenders and investors, to serious risk. The possibility of housing values to stop growing further or even

start declining or too many borrowers missing their repayments would add immense strain on every layer already tied to packaged loan investments. Something that could have grave consequences for the economy.

The regulatory bodies were not completely blind, as they were aware of certain risks. Nevertheless, reactions frequently came late or lacked coordination. Jurisdictional overlap among bodies marked the landscape, while one central body remained visibly absent amid rapid growth in intricate derivative trading. The SEC's **Consolidated Supervised Entity** initiative aimed at tracking major firms. This was a part of the entire effort led by multiple agencies to monitor investment institutions. Regardless, the oversight power held by the SEC did not match what applied to regular banks through standard bank supervision. This created a gap. Major finance firms, thus, took on heavy borrowing loads without facing the tight capital rules meant for protected banking entities.

Meanwhile, a quiet transformation shaped how money matters were handled across the nation for many years. From the final decades of the 1900s onward, leaders across the political spectrum began favouring lighter rules on finance. Instead of tight controls, they placed trust in open markets, believing rivalry

and new ideas would guide investments better. Efficiency, it was said, emerged not through limits but through freedom to act. Evidence of this thinking surfaced in laws passed during pivotal moments. The dismantling of long-standing walls between bank types stands out, as seen clearly when old separations gave way under legislation like **the Gramm-Leach-Bliley Act**. Much confidence followed the reform, with backers seeing stronger U.S. financial bodies able to match overseas counterparts. Over time, concern emerged that broader reach led to deeper vulnerabilities, as firms expanded into vast, tangled networks.

Concerning financial derivatives, it was regulatory gaps that drew attention. The year 2000 saw congressional passage of **the Commodity Futures Modernization Act**. This legislation defined the standing of numerous derivative forms yet reduced federal authority to supervise specific over-the-counter activities directly. Growth in such markets accelerated sharply over the next few years and, instead of limiting usage to risk mitigation, banks increasingly applied these tools toward speculative aims. Profitability tended to rise with expanding economies. However, due the emergence of intricate chains of liability, every time market trends shifted direction, setbacks were magnified.

Warning Signs Ignored

Midway through this period, many economic experts began to note unease in the property sector. In numerous U.S. areas, house values climbed at a pace far exceeding wage growth. Loan requirements continued to loosen, while home financing options became increasingly difficult to understand. Warnings emerged from certain oversight bodies about risks associated with high-risk borrowers and fluctuating interest rates on loans. Acknowledging the mounting dangers in the housing sector, the Federal Reserve System remained inactive when critical intervention was needed. Despite recognition of escalating threats, steps strong enough to slow aggressive subprime expansion never emerged before the instability took hold.

Not only did credit rating firms influence perceptions, but they also helped define trust levels in complex debt instruments. **Moody's and S&P** stood at the centre of assessments for countless mortgage-linked investments offered globally. Though built from loans with clear repayment dangers, many bundles earned strong scores during evaluations. Trust in those grades guided choices about capital placement across borders. As home prices softened and missed payments rose, belief in the accuracy of ratings faded fast. That erosion added

pressure to systems already under immense strain.

Because financial markets are now linked tightly, trouble in home loans soon affected wider economic sectors. Not only did investment banks hold heavy amounts of mortgage-linked investments, but so did many lenders. As those asset values dropped, loss totals rose sharply across the system. While some companies tried offloading risky holdings, a few sought fresh investor money quietly. Yet difficulties surfaced elsewhere. This led lenders to hesitate to provide temporary funds as they worried about more serious damage.

The Collapse of Major Financial Institutions

Early in 2008, **Bear Stearns** fell apart. This revealed how weak the entire setup really was. By March, a sharp drop in available cash forced its sale of **JPMorgan Chase**, backed by support from the central bank. Though this move held short-term panic at bay, the deeper flaws within the finance system stayed untouched. With home prices sinking, numerous firms continued carrying heavy risks amid shrinking lending access.

September 2008 brought matters to a head. Facing growing deficits, Lehman Brothers – among the biggest U.S. investment firms – could not obtain further funds. Talks with possible

acquirers ended without resolution. The company sought bankruptcy relief on Monday, September 15, at midnight, making history as America's most significant business collapse. A tremor rippled through global finance after the statement emerged and sharp drops appeared on stock exchanges without a second's delay.

When such situations occur, attention turns toward how governments supervise the financial system. Could actions have been taken sooner to limit the risks forming in market structures? Officials and analysts question if the current rules are adequate when applied to large and intricate banking entities. Certain observers also claim that warnings went unheeded. At times, it could be seen that constraints, legal and institutional, limited enforcement even amid growing imbalances.

The Senate's Role

What often goes unnoticed is how seldom regulatory breakdowns trace back to just one choice or agency. Instead, they grow out of layered factors. The role of those who oversee the markets is to balance various concerns. However, controls, when too right, tend to restrict advancement and innovation, whereas, weak supervision lets hidden dangers grow undetected inside markets

– eventually endangering the entire financial order. Moreover, it is now evident how gaps in regulatory alignment intensify broad financial threats. Though several national bodies divided supervision of banking entities, full visibility into fast-changing market structures belonged to none. From investment firms to loan providers, rating organisations, and derivative trading arenas, each functioned under partly intersecting rules. As pressure emerged in any one area, effects moved swiftly among tightly linked institutions.

Thus, this session of the Senate serves a dual purpose: to address urgent economic steps alongside scrutiny of pre-crisis regulations. Senators will have to carefully assess if current systems can achieve balance and serve societal needs. Another task of notable weight also lies

ahead for this Senate. Financial unrest has spread beyond U.S. borders. Given that U.S. banks are tied into worldwide networks of investments and lending, disturbance at home sends shockwaves outwards. This means that to restore balance, Senators must make choices that align closely with the efforts of global financiers.

Even with such widespread disruption, the basic function of government supervision stays constant. Built over time, the U.S. monetary system rests largely on openness and responsibility as it relies on confidence from citizens. Because of this, looking into failures within regulation goes beyond pointing fingers and the need of the hour is to understand what went wrong and how the Senate can take actions to prevent recurring and serve national needs.

Wall Street Crash

Collapse of Market Confidence

Confidence forms the foundation of financial systems. Lending occurs when banks anticipate returns, while investment decisions stem from belief in institutional durability, i.e., perceptions of stability keep transactions moving forward. Should trust decline, major organisations might encounter turmoil without warning. Therefore, stability rests not only on balance sheets but also on shared assumptions about continuity.

Lehman Brothers Holdings Inc., a major U.S. investment bank, initiated proceedings under Chapter 11 for bankruptcy protection on September 15, 2008. With around \$639 billion in assets against \$619 billion in debt, the event became the biggest corporate insolvency recorded in America. Engaged heavily in areas such as mortgage-backed assets, derivative instruments, fixed-income operations, and advisory services, its downfall came without warning.

Financial systems worldwide felt immediate tremors following the failure.

Right away, stock markets across the globe showed signs of movement. The Dow Jones Industrial Average fell over 500 points that day. Rising uncertainty due to investor doubt regarding the security of large financial entities made the market swings stronger. That created pressure on lending sectors, and since firms worried about defaults and shaky partners, they held back on providing loans to peers.

This disruption has widely been described as a modern Wall Street crash, but unlike the stock market collapse of 1929, the current crisis reflects more about a breakdown of trust within the financial system itself.

What Led to the Collapse

As mentioned earlier, from the early 2000s, shifts were seen in how the

financial systems operated. Home lending grew, and rather than holding loans, mortgage providers began passing them to investment firms. These institutions bundled a vast number of mortgages into packages known as **mortgage-backed securities (MBSs)**. From there, further layers formed, and these bundles became ingredients in increasingly complex instruments called **collateralised-debt obligations (CDOs)**, which were subsequently distributed among large-scale global buyers.

Gradually, MBSs lost value as loan payments slowed. As they were widely owned, these assets dragged down balance sheets across big financial firms. The heavy borrowing habits of top investment banks worsened the strain, and a single percentage drop, under such imbalanced circumstances, proved enough to wipe out equity.

Risk levels increased rapidly with fast growth in derivative trading. **Credit default swaps (CDSs)** let buyers protect bond investments. Hidden links kept on piling up between lenders, insurers, and trusts, and since these deals happened privately, they largely escaped the watch of authorities.

Towards the end of 2006, signs of strain started showing up in big banks due to investments linked to home loans. Across continents, lenders began

revealing massive cuts in asset values – amounting to many billions. Despite ongoing trading activity, cracks grew deeper beneath the surface, and with each new report, confidence thinned.

Liquidity Crisis Spreads

The ease with which institutions acquire immediate funds is referred to as liquidity.

Banks and investors use temporary borrowing tools to meet short-term operational needs through repurchase agreements, corporate-issued debt notes, and peer-to-peer bank loans – all to avoid long-standing credit lines. However, with mounting losses on mortgage-backed assets, caution spread amongst lenders, and lending between banks began to shrink, especially within the **London InterBank Offered Rate (LIBOR)** framework. The widening gap in LIBOR rates reflected growing doubts about each other's financial stability. This shift in trust altered how institutions interacted. Uncertainty became widespread, and what once flowed easily now faced delays and scrutiny.

The fall of Bear Stearns in March and its subsequent takeover by JPMorgan Chase with the aid of the Federal Reserve, as mentioned earlier, exposed how fragile heavily indebted financial institutions truly were. Regardless, when Lehman Brothers collapsed, pressure grew

sharply. The whole network felt disruption almost at once.

After Lehman Brothers collapsed, lending conditions worsened significantly. Doubt spread among investors regarding the financial health of major firms elsewhere, and money market funds related to holdings tied to Lehman came under large strain.

As of the evening of September 15, 2008, financial markets remain extremely volatile. Stock markets have experienced sharp declines, whereas borrowing costs have climbed rapidly. Interbank lending remains constrained. Entities dependent on short-term funding face increasing difficulty securing liquidity.

Relevance for the Senate

The events that are now unfolding in financial markets across the world go beyond one organisation's collapse.

Underlying flaws and structural weaknesses are revealed in how home loans are funded, packaged, risk-assessed and supervised by authorities.

For the Senate, the significance of the Wall Street crash lies in both its immediate economic impact and its broader implications for institutions. The question remains: do present-day safeguards match the evolving complexities found across global banking networks?

At the same time, senators must evaluate possible policies that could steady credit markets while rebuilding trust across investors, banking institutions, and the people. Decisions regarding emergency financial measures, regulatory reform, and market oversight may shape not only the recovery of the American economy but also the stability of the global financial system.

How America Reached the Brink of Collapse

One of the reasons for the crash was the housing market in the United States. In the 2000s, the United States saw a big housing bubble. Home prices were going up fast because it was easy to get credit. Lenders were giving mortgages to people who did not have a credit history. These mortgages were then put into something called mortgage-backed securities. Sold to people all around the world. The people who rated these securities thought they were safer than they really were.

By 2007, a lot of people were not paying their mortgages. This caused problems for the companies that had given them the loans. Standard & Poor's and Moody's had to lower the ratings of over 100 bonds that were connected to these mortgages. Some big lenders, like New Century Financial and Bear Stearns, even went out of business.

At the time, there were some big problems with the whole economy. The

United States was spending a lot more money than it was making. We were getting the money from other countries like China. The United Nations Conference on Trade and Development said that these big differences between what countries were spending and making were a cause of the crisis. Because other countries were investing a lot of money in the United States, it kept interest rates low. This made it easy for people to borrow money and buy houses. By 2006, the United States was using about 60% of the world's savings. This was an unsustainable global capital imbalance, because the sheer concentration of the world's savings flowing into a single economy created a financial system running on borrowed money and borrowed time. All of this money was going into the housing market. Making it go up too fast.

The way the financial system was set up also had some risks. There were a lot of

companies, like investment banks and hedge funds, that were borrowing money for a time to buy mortgages and other complicated investments. When people started not paying their mortgages, the value of these investments went down. The companies that had borrowed money to buy them did not have the money to pay back their loans. This caused a problem because these companies were all connected. When one company had problems, it affected all the others. The Federal Reserve said that this was like a web. When one part of the web had problems, it spread to all the parts.

There were also some problems with the way the financial system was regulated. For a time, the government had been making it easier for banks and other financial companies to do what they wanted. In 1999, a law called Glass-Steagall was repealed. This law had separated investment banking. The people who were supposed to be watching the financial system were not doing their job. The people in charge were not paying attention to the risks that were building up with the system. The government was also telling people to buy houses, which led to some lending practices within the financial system. The United Nations Conference on Trade and Development said that the way the financial system was regulated was a part

of the problem with the financial system. They said that there was no oversight and that the finance industry was not transparent.

Even the people in charge of the Federal Reserve and the government made some mistakes. They had lowered interest rates in 2001. Kept them low for a long time. This made it easy for people to borrow money. It also encouraged them to take on too much debt. When the housing market started to go down, the government tried to do something to help. The Federal Reserve lowered interest rates multiple times in 2008. The Congress tried to help the companies that were having trouble. It was too late. The problems were too big. The economy was really bad. A report from the United Nations Conference on Trade and Development said that the economic crisis started in the United States in 2007, and then it spread to other countries. The economic crisis was caused by things, including the housing market, global capital imbalances, and a lack of oversight in the economy. The economic crisis was a problem. When the housing market turned, the whole financial system was in trouble. Within a month, the whole country was in a state of crisis.

The War in Iraq

America did not arrive at this point by accident. The crisis has many causes, but one has been visible since March 2003: *The War in Iraq*.

The Bush administration entered the conflict projecting \$50–\$60 billion. Economists Stiglitz and Bilmes at Harvard University put the real figure closer to three trillion dollars by 2008. That accounts for the borrowing, veteran healthcare, equipment costs, and five years of oil prices pulled out of shape by an active war. Every official estimate before that was wrong, and wrong in the same direction.

This was the first time an American government went to war and cut taxes simultaneously. No war levy, no bond drive. The bill went straight onto the national debt. Debt stood at \$6.4 trillion when the war began. By September 2008, it had crossed \$10 trillion. The war put a significant portion of that gap there.

When a government borrows that heavily, less capital remains available to businesses and households, and interest rates rise. The Federal Reserve moved in the opposite direction, bringing the federal funds rate, which banks charge each other for overnight lending, down to keep money circulating. That money entered mortgage markets. Banks were writing home loans for borrowers who could not realistically repay, because those loans were being divided, repackaged into mortgage-backed securities, and sold off before anyone had to account for the underlying risk. The war did not produce the housing bubble alone, but the monetary conditions it generated contributed to it substantially.

Federal dollars that went to Iraq did not go to roads, bridges, or schools. Domestic investment was deferred year after year. The productive base of the American economy was being run down in the background.

Oil was trading at under \$25 a barrel when the invasion began. Iraqi production came offline at a particularly poor moment, with Chinese and Indian demand both rising sharply at the same time. By July 2008, crude had reached \$145 a barrel. That cost landed on American households at the fuel pump. Money spent on petrol was money not going toward mortgage payments, groceries, or savings. The inflation that accompanied the oil price rise pushed the Federal Reserve to begin increasing rates from 2006. It was those rate increases, compounding over two years, that started taking the housing bubble apart.

Iraq had become a full sectarian conflict by 2006. Sunni and Shia militias were fighting across Baghdad while American forces were caught between them without a defined mission. President Bush responded in January 2007 by deploying an additional thirty thousand troops under General Petraeus, moving them out of large forward operating

bases and directly into Iraqi urban neighborhoods. Casualty figures fell. By mid-2008, monthly American deaths in Iraq were lower than at any point since 2003.

The strategy had a measurable effect on violence. It did not bring the war to a close. Defence spending across Iraq and Afghanistan was still running at close to \$11 billion a month. Roughly 140,000 American troops are in Iraq as of today. The two governments have yet to conclude a Status of Forces Agreement setting out the terms and timeline of the American military presence going forward.

The senators in this chamber are not working through an abstract policy question. A war without a resolution date is drawing \$11 billion a month from the same Treasury now being asked to prevent a financial collapse. This is where the two crises meet.

Political Consequences

George W. Bush walks into this week with a 31% approval rating, and that number has nowhere to go but down. Iraq had been draining public confidence since 2004. Hurricane Katrina, three years prior, had exposed the administrative failures sitting beneath the surface of the federal government in a way the public had not forgotten. A domestic economy running on cheap debt and artificial rates had been coming apart quietly for years before anyone in the administration acknowledged it. A CBS News poll from this month recorded 16% of Americans approving of his handling of the economy. Four months left, and that is the number.

The record since March does not help his case. Bear Stearns collapsed and was sold to JP Morgan Chase over a weekend, with federal money smoothing the transaction. Fannie Mae and Freddie Mac went into government conservatorship nine days ago. Over the weekend of the 13th and 14th, Treasury Secretary Henry Paulson and Federal Reserve Chairman Ben Bernanke ran

emergency sessions at the New York Fed, working through every available contract to find a private buyer for Lehman. Bank of America left the table and bought Merrill Lynch instead. Barclays was willing and got blocked by regulators in London. No one else came. Lehman filed at 1:45 AM on the 15th. The administration did not move.

Today, September 16th, the Federal Reserve extended \$85 billion to American International Group and took a 79.9% equity stake in return. AIG had written credit default swap contracts across the global financial system on a scale that made its failure genuinely uncontrollable, over \$60 trillion in outstanding contracts. The Fed looked at that and concluded it had no real alternative. What Congress registered immediately is the forty-eight hour gap: the administration that stood aside for Lehman on Sunday decided AIG could not go the same way on Tuesday. The day before the AIG announcement, Secretary Paulson had told the public there would be no further government

rescues of Wall Street institutions. That statement is in every newspaper in the country. Every senator in this room has read it.

Six weeks from Election Day, and the financial crisis has rearranged this presidential race inside a single news cycle, and not in Senator John McCain's favour. He came into September with genuine momentum. The Republican convention had gone well. Governor Sarah Palin's selection had eaten two consecutive weeks of media coverage. Pew Research Centre polling in the week of September 8th put Senator McCain level with Senator Barack Obama among likely voters. It was a close race. Then the 15th arrived.

That morning, at a rally in Jacksonville, Florida, on the same day Lehman Brothers filed for the largest corporate bankruptcy in American history, Senator McCain told the crowd the fundamentals of the American economy were strong. The Obama campaign had an advertisement in swing states before the day ended. It put the morning's figures on screen without commentary: 605,000 jobs lost for the year, foreclosures at 9,800 a day, Lehman gone, markets in freefall. Then it cut to the footage from Jacksonville.

Senator McCain's team argued he was speaking about American workers rather

than financial indicators. It did not hold. Senator Obama responded in Colorado on the 16th and kept it short: the problem was not whether Senator McCain cared about ordinary Americans, it was whether he had any grasp of what was actually happening to them. One sentence, precisely placed, and it stuck. Pew polling conducted within a week of the collapse showed 30% of respondents held a worse view of Senator McCain than before the 15th, against 20% who held a better one. Every major poll since then has Senator Obama ahead by at least six points.

The problem for Senator McCain goes deeper than Jacksonville. His campaign was built on national security and a military record that is, by any measure, genuinely distinguished. He said in 2007, without appearing particularly concerned about it, that economics was not his strongest ground. The crisis has put the entire election on that ground and left it there. The Dow dropped 504 points on the 15th, the single worst session since markets reopened after September 11th. It dropped another 449 today before recovering partially on the AIG news. London, Tokyo, Paris, and Frankfurt all fell overnight. The economy is now the only subject this election has, and Senator McCain's campaign was not designed for it.

Senator Obama's position is the structural opposite. He spent the better part of a year arguing that eight years of Republican economic stewardship had failed ordinary Americans. The markets made that argument for him on Monday morning, more forcefully than any campaign advertisement could have.

Congress carries its own accountability into this session, and it runs through both parties with a precision that makes comfortable positioning difficult for anyone in this room. The Gramm-Leach-Bliley Act of 1999 removed the Glass-Steagall provisions that had separated commercial deposit-taking from investment banking since the 1930s. It passed the House with 202 Republican votes and 138 Democratic votes and was signed by President Bill Clinton. The deregulatory framework that permitted financial institutions to reach their current scale, carry the leverage they are now drowning under, and operate with the opacity they have enjoyed for a decade, was not a partisan project. It was a consensus, built across two administrations and sustained by a legislature that found the growth figures more politically convenient than the questions those figures should have prompted.

The SEC rule change of 2004, permitting investment banks to push leverage ratios

well beyond prior limits, passed without meaningful congressional opposition. Bear Stearns was running at roughly 33 to 1 leverage when it collapsed. Lehman was in comparable territory. Standard and Poor's and the other major ratings agencies stamped investment-grade ratings onto structured products built from subprime mortgage collateral for years, without facing scrutiny from any oversight body that had the authority and the appetite to demand it. None of this unfolded in obscurity. It happened in committee rooms and on the Senate floor, with votes recorded and signatures on legislation. The senators assembled here to design a rescue are, in several cases, the same individuals who voted for the laws that made one necessary, or who chaired the relevant oversight committees and directed their attention elsewhere while the bubble expanded.

Richard Fuld, Chief Executive of Lehman Brothers, collected a total compensation exceeding \$260 million in the four years before Lehman filed. The firm distributed over \$16 billion in bonuses across the period during which it was constructing the positions that destroyed it. Those figures are not in dispute. They are what Congress is sitting with as it determines what conditions, if any, to attach to the institutions it is now being asked to bail out.

Secretary Paulson is bringing Congress a request for authority to purchase distressed assets from failing financial institutions. The figure under discussion is \$700 billion. The political difficulties are not complex, and they are not going to ease with time. The firms being extended support are the ones whose conduct generated the crisis. The individuals who ran them and compensated themselves throughout are not being asked to return any part of that compensation. The bill goes to the federal taxpayer. 605,000 jobs lost this year. Foreclosures at 9,800 a day. Public support for rescuing Wall Street investment banks is, by every available measure, negligible. A senator voting for it has to explain that to constituents watching their retirement savings shrink and their neighbours receive foreclosure notices. A senator voting against it has to explain that position as the system continues to deteriorate. The AIG rescue today was executed under Federal Reserve emergency powers without a congressional vote, and Congress was informed afterward. That route does not exist for what comes next. Secretary Paulson and Chairman Bernanke are coming to Capitol Hill, and what they bring will require a vote. Every senator in this room will be on the record.

The administration's position has not changed: inaction costs more than an unpopular rescue. Credit markets are tightening sharply. The London

Interbank Offered Rate hit a seven-year high after Lehman fell, as institutions stopped lending to one another over uncertainty about counterparty exposure. Firms relying on short-term commercial paper to meet operating costs are finding that credit is either unavailable or priced beyond practical use. If the contraction moves from investment banking into commercial banking, Americans with ordinary deposit accounts will face consequences they have not encountered yet. Unemployment stands at 6.1% and is rising. Foreclosures are at record levels. The contraction already underway will deepen if credit remains frozen and no legislative response follows.

The political cost of a full systemic collapse exceeds, by a considerable margin, the political cost of a difficult vote in an election year. That is what is in front of every senator in this room. What this chamber decides, on what terms, with what conditions attached, and how it explains those decisions to an electorate that is already furious about all of it, is the question this Emergency Session now has to answer.

US Government Response Mechanism

One question has to be settled before the Senate votes on a single thing, and nobody in the administration has been honest about it: is this a liquidity crisis or a solvency crisis? Not interchangeable. A liquidity crisis means institutions hold good assets they temporarily cannot sell. A solvency crisis means the assets were never worth what the books claimed. Bagehot settled the liquidity problem in 1873: lend freely, take the collateral, charge a penalty rate, wait. Still works. What it cannot do, has never done, is rescue an institution whose liabilities genuinely exceed its assets. That is not a rescue. That is a subsidy dressed as one, and the public absorbs the loss while the dressing stays on. Every proposal coming to this chamber rests on an unstated assumption about which kind of failure this is. The people asking for the votes know exactly which assumption they are making. The senators casting them had better know too. The government's response has come in two phases that share almost nothing in common. Phase one: August 2007 through the evening of September 14, cut rates, build facilities, pray a private

buyer appears. It ended at 1:45 in the morning on September 15 when Lehman filed for Chapter 11 and no buyer had. The senators assembling here are the first legislature to formally convene in response to what happened yesterday. There is no precedent for the next seventy-two hours. Get this wrong and everything downstream is harder to fix. The Fed cut the federal funds rate from 5.25% to 2.00% across seven consecutive meetings between September 2007 and April 2008. 325 basis points in seven months. In a normal recession that transmission works: cheaper money, cheaper borrowing, more spending, recovery. 2008 is not a normal recession. Banks were not withholding credit because it was expensive. They were withholding it because they could not determine which counterparties were solvent, and there is no rate cut anywhere that resolves that problem. LIBOR decoupled from the federal funds rate entirely. The TED spread, the gap between three-month LIBOR and three-month Treasuries, the market's crude real-time gauge of systemic fear, spiked after Lehman filed to levels

unseen since Black Monday 1987. Not an abstraction. The number is the price the market is charging for the possibility that whoever sits across the transaction from you may not exist when settlement is due. Because rate cuts stopped working, the Fed built a parallel architecture using Section 13(3) of the Federal Reserve Act, authority to lend to any individual, partnership, or corporation in unusual and exigent circumstances when adequate credit is unavailable elsewhere. Dormant since the Depression. It is now the legal foundation for facilities that did not exist eighteen months ago. The Term Auction Facility lets depository institutions borrow short-term against wide collateral through an auction that removes the discount window's stigma, since banks had been avoiding the window even when desperate, because being seen there telegraphs distress. The Term Securities Lending Facility lets primary dealers swap mortgage-backed securities for Treasuries on 28-day terms, exchanging assets nobody will touch for assets everyone accepts. The Primary Dealer Credit Facility extends overnight lending to broker-dealers directly, for the first time since the 1930s. The Federal Reserve is now lender of last resort to the shadow banking system, on the Board's own authority, without a vote, without deliberation. The most consequential structural change in American central banking since the institution was

founded, and Congress is learning about it now, after the fact, and being asked to ratify rather than decide. Bear Stearns set the terms in March and this Senate should understand them precisely. Bear ran out of liquidity on March 14. The New York Fed extended emergency financing through JP Morgan Chase under Section 13(3). Two days later JP Morgan Chase agreed to acquire Bear at two dollars a share, revised to ten under shareholder pressure, with the Fed absorbing \$29 billion of Bear's worst assets through Maiden Lane LLC. Three precedents followed from that transaction. First: the government would not permit a systemically important institution to fail disorderly if a managed resolution was available. Second: the Fed would use Section 13(3) to facilitate private acquisitions by stripping bad assets beforehand. Third, and the one with immediate force today: Bear Stearns created a reasonable expectation, across the entire financial system, that any comparable firm in comparable distress would receive comparable treatment. Lehman's management ran on that expectation all summer, capital raising decisions, asset sale decisions, how seriously to pursue a buyer, all of it premised on the Bear precedent applying to them. Withdrawing that expectation without warning, in a single morning, took the system's confidence with it. The Dow fell 504 points yesterday. That is not

commentary. That is the cost of the decision. The official explanation for treating Lehman differently, no private buyer and insufficient collateral, is partially accurate and substantially incomplete. Barclays wanted Lehman. British regulators blocked it over a weekend, refusing to waive shareholder approval requirements on that timeline. Bank of America walked to Merrill Lynch for fifty billion dollars instead. On collateral: Section 13(3) contains no explicit bar on lending against insufficient collateral, provided the Board finds unusual and exigent circumstances. The honest explanation is a political one. Rescuing Bear and then Lehman would signal unlimited protection for recklessness, and the system needed to see a limit. What the system saw instead was not a principled limit but an arbitrary one, applied without warning to a firm operating in good faith on the precedent the government itself had set three months earlier. 504 points. Worth sitting with. Yesterday morning, thirty-six hours after Lehman filed, the Fed extended \$85 billion to AIG and took 79.9% equity. The federal government now owns most of the world's largest insurance companies. The day before, Secretary Paulson told the press there would be no further government rescues of Wall Street institutions. Forty-eight hours. That gap is not a communication failure or a change in circumstances. It is

evidence, direct and unambiguous, that no coherent framework exists for determining who gets rescued and who does not. That is the first question Secretary Paulson and Chairman Bernanke owe this chamber an answer to. Not a framework they are working on. An answer. AIG's catastrophe originated in its Financial Products subsidiary, not its insurance business. The subsidiary had written credit default swap contracts on approximately \$441 billion in fixed-income securities, heavily referencing mortgage-backed securities and CDOs. A credit default swap functions as a bond insurance policy: the protection seller compensates the buyer on default in exchange for periodic premiums. No insurable interest required. Any party can buy protection on any bond regardless of ownership, meaning the total notional exposure of the credit default swap market bears no relationship to the actual value of the underlying assets. AIG wrote protection at a scale untouched by any reserve requirement, because the Commodity Futures Modernization Act of 2000 explicitly exempted over-the-counter derivatives from exchange trading and clearing. When the underlying securities collapsed and AIG's credit rating was downgraded, simultaneous collateral calls came in from every institution that had purchased its protection. AIG could not meet them. Its failure would have triggered default events across the global

financial system simultaneously, every institution holding AIG protection losing it at exactly the moment the assets underneath were most impaired. The Fed says it had no alternative. Perhaps. But the legal authority deemed insufficient for Lehman was deemed sufficient for AIG thirty-six hours later, and the senators in this chamber are entitled to understand why before they vote on anything. Article I, Section 9, Clause 7: no money drawn from the Treasury except by appropriation. The Fed's position, that these are not Treasury funds but monetary authority, has been held legally. The practical reality is that an unelected board has committed public resources exceeding most full-year discretionary appropriations bills without a congressional vote, informing the legislature afterward. This crisis has already been substantially managed outside normal oversight structures. This Senate is the first legislature in a position to respond. That fact should inform what it agrees to next. The fiscal position is not scene-setting. It is a constraint. National debt above \$10 trillion before this session was called. The FY2008 deficit is projected at around \$455 billion. Iraq and Afghanistan are running \$11 billion a month. Tax cuts in 2001 and 2003, the Iraq War launched in 2003, not one revenue measure attached to any of it, the first major American military mobilisation financed entirely on deficit spending. Every dollar committed here is

borrowed against the public's future. The credibility of American sovereign debt is the foundation on which every dollar of emergency lending ultimately rests, and it is not a permanent given. It is assessed daily in the Treasury market by people with no sentimental attachment to it. The regulatory failures that produced this will not be remedied by emergency lending alone, and legislation that pretends otherwise is pretending. No federal regulator holds explicit authority to monitor systemic risk across the financial system as a whole. The Office of the Comptroller of the Currency has banks. The SEC has broker-dealers. The CFTC has futures. Nobody has the connections between them, and when Lehman's failure started cascading through counterparty exposures yesterday, no regulatory body had a real-time mandate to track and contain it. The Commodity Futures Modernization Act exempted over-the-counter derivatives from exchange trading and clearing. AIG Financial Products is what that exemption produced. The SEC's 2004 leverage decision let Bear Stearns and Lehman reach approximately 33 to 1 at collapse, the ratio at which a three percent asset decline eliminates equity entirely. The ratings agencies rated structured products built from subprime collateral at investment grade, paid by the same institutions whose products they were rating. None of this was obscure. It required authority and will.

Neither was applied. A proposal is being prepared by the Secretary of the Treasury that would seek authority to purchase troubled assets from failing financial institutions at a scale expected to reach \$700 billion, with minimal legislative oversight built into the current draft. It has not yet reached this chamber. When it does, the senators in this room will be voting on the largest single financial commitment in American peacetime history, under conditions of acute market pressure, in the final weeks of a presidential election campaign. Emergency conditions reliably generate pressure to concentrate authority, compress deliberation, and defer accountability indefinitely. The Fed committed public resources without a vote. The GSE conservatorship was executed under July legislation without deliberation on its specific application.

Each had a rationale. Together they describe a pattern of consequential decisions made outside normal legislative structures, each justified by urgency, accumulating into a transformation of the relationship between the executive branch and the public's money that this chamber has not once formally addressed. It is formally addressing it now, for the first time. The financial system can be stabilised by officials moving fast with borrowed public money. Whether that stabilisation happens with accountability, transparency, and under conditions this legislature has actually approved is a separate question and a harder one. It belongs to this chamber. No one else resolves it.

State-By-State Consequences

The Financial Crisis did not only affect balance sheets. It deeply affected people, around the world and in our homeland, America.

Nevada has been the worst housing market in the country for over a year on cheap credit and the assumption that prices would keep climbing, and when both ran out, there was nothing underneath. *One in every 91* households got a foreclosure notice in August alone. Fewer people are visiting the casinos nowadays, which means a huge loss of money for the casinos. Unemployment has been increasing steadily across the state. Senator Reid is representing a state that has been in a housing crisis for over a year while the rest of Washington debated whether it was serious.

Illinois has a more varied economy than most, but that has not made it safe. Chicago's financial sector will feel the Lehman collapse in thousands of jobs across finance, trading, and every business built to serve them. Outside Chicago, factories have been closing for months, and working families are sitting on mortgage debt they took on when things felt stable and manageable.

Connecticut looks wealthy from the outside and is genuinely exposed from within. Greenwich holds more hedge fund money than most countries. That money is now evaporating and taking the state's tax base with it. But Hartford, Bridgeport, and New Haven are not Greenwich. Those are working cities whose residents never saw much of the financial boom and are now absorbing the full weight of its collapse. Senators Dodd and Lieberman represent a state that has both the people who designed these products and the people who never heard of them but are paying for them regardless.

New York is the middle of everything happening right now. Lower Manhattan this morning is working out which firms still exist. Lehman employed roughly 25,000 people, a large share of them in New York, and those jobs are gone as of yesterday. Merrill Lynch is being taken over by Bank of America and will cut further. The restaurants, small businesses, and service firms that exist around the financial industry will feel it for months, slowly. Outside the city, farms and factories across the state

depend on credit that is now harder to get by the day. Senators Clinton and Schumer represent both the epicenter of this collapse and the millions of New Yorkers whose only connection to it is that they are now left holding the costs.

Delaware incorporated most of the companies at the centre of this. Lehman Brothers was a Delaware company. So were the financial vehicles used to move toxic mortgage assets off the main balance sheets and out of sight. The state's business registration fees fund a meaningful portion of its budget, and those fees depend on the corporate sector it hosts staying healthy. Most of the state's working population is employed in financial services in some form. Senator Biden represents a small state whose exposure to this industry is anything but.

West Virginia had no part in the financial boom and will not be spared what follows. Coal and chemical manufacturing have nothing to do with mortgage bonds. What they do depend on is investment, and investment pulls back when banks stop lending. When those industries slow in West Virginia, there is not much else waiting to absorb the workers it lets go. The state already has one of the lowest average incomes in the country and very little to fall back on. Senator Byrd, the longest-serving senator in American history, represents a state that played no role in causing any of this and will feel all of it regardless.

California is the biggest state economy in the country and one of the hardest hit. The suburbs east of Los Angeles, the Central Valley, and parts of the Bay Area had some of the worst subprime lending anywhere in the country during the boom. Cities like Stockton and Merced were already falling apart before yesterday. The construction industry has shed hundreds of thousands of jobs. The state budget runs heavily on taxes from high earners in finance and technology, and it is heading toward a gap so large that it will require deep cuts or large tax increases or probably both. Senators Feinstein and Boxer represent 37 million people across a state where this crisis plays out very differently in a wealthy coastal suburb than it does in a farm town three hours inland. It is happening in both.

Michigan is in its own category entirely. GM, Ford, and Chrysler were already in serious trouble before any of this. They were losing customers, carrying enormous costs from old pension and healthcare commitments, and burning through their reserves. A banking crisis has now landed on top of an auto crisis. Car sales depend on people being able to borrow money to buy them. Borrowing money is getting harder. The dealerships, parts suppliers, and repair shops built around the auto industry are contracting right alongside it. Michigan's unemployment rate was already one of the worst in the country before

September 15. Senator Levin represents a state where none of this is new, and none of it is abstract.

Montana is a long way from Wall Street and directly in the path of what Wall Street just did. Farming, energy, and tourism are the economy. Farm credit comes from the same banking system now locking up. Commodity prices that were keeping farm incomes steady are falling as recession fears spread globally. Tourism shrinks when families stop spending on things they do not absolutely need. Senator Baucus chairs the Senate Finance Committee and represents a state that will feel the effects of this financial collapse just as fully in a grain operation outside Billings as in any trading firm in Manhattan.

Florida's housing crisis did not start with Lehman. The Miami area and surrounding counties went through some of the most reckless real estate speculation in the country, with towers and subdivisions built on the expectation that buyers would keep arriving. They stopped in 2006. The backlog of foreclosures is enormous and is still grinding through the courts. Construction jobs are gone. Tourism, which props up the other half of the economy, will fall as the recession deepens. Senator Nelson represents a state that was already in serious trouble before yesterday piled a national financial collapse on top of it.

Vermont has a small financial sector, which means Wall Street's specific

instruments did not reach it directly. A recession affects everyone. Small businesses, farms, and the ski and tourism industry all depend on credit and on people having money to spend, and both are tightening. Senator Sanders has spent years in this chamber warning that concentrating this much economic power in loosely regulated financial giants was going to end badly for working people. He was right. Vermont gets nothing out of that.

Kentucky has coal, car factories, farms, and distilleries. The auto industry's problems hit the state directly because Toyota and Ford both have major plants there. Coal depends on investment capital that disappears when banks pull back. Senators McConnell and Bunning represent a state where this crisis arrives not through a brokerage statement but through a factory gate or a mine entrance.

Arizona was one of the hottest housing markets in the country and is now one of the most damaged. Phoenix grew on population inflow and easy loans. Both stopped. Foreclosure rates are among the worst nationally. Construction, which was a primary employer, has fallen apart. The retirement and vacation home market depends on buyers from other states who are now watching their own finances shrink. Senators Jon Kyl and McCain represent a state where the housing crisis is not a data point but something happening on real streets.

That is part of what made Senator McCain's comment in Jacksonville yesterday morning, about the economy's fundamentals being strong, so immediately damaging. People in the Phoenix suburbs know what their street looks like right now.

Texas is in better shape than most states in this room. Its oil industry, varied economy, and a housing market that never got as overheated as Nevada or Florida all offer genuine protection. State banking rules also kept some of the worst lending from taking hold. Oil prices are still high enough to keep energy employment going. That said, financial firms in Dallas and Houston will shrink. Factories will face falling orders. Farms and small businesses will find it harder to get loans. Senator Cornyn represents a state better positioned than most and still not outside the blast radius.

Iowa's crisis turns up in a corn price and a rejected loan, not a stock chart. Farmers need credit every season, and that credit comes through a banking system now under real strain.

Commodity prices that hit record highs earlier this year are falling as a global recession looks increasingly likely. The ethanol industry, which grew fast across the state over the past decade and brought jobs to rural communities, is caught between falling corn prices and tighter credit at the same time. Senator Grassley represents a state where the

failures of Wall Street translate into consequences on family farms in a very direct way.

New Hampshire has a more varied economy and a housing market that never reached the extremes of the hardest-hit states. Manufacturing and financial services are both under pressure, but from a less dangerous position. Senator Gregg has spent his career pushing for fiscal discipline and smaller government. He is walking into this session facing a direct conflict between those positions and the scale of what is now being asked.

Tennessee has car plants, hospitals, and a growing financial sector in Nashville, and all three are under pressure at once. The Nissan and Volkswagen facilities will feel car demand falling. Nashville's financial firms will contract. Healthcare holds up better than most industries in a downturn, but it is not immune when unemployment rises, and people lose coverage. Senator Corker comes from a business background and represents a state getting hit across several industries at the same time.

South Carolina has a BMW plant, textile and chemical factories, tourist beaches, and one of the lowest average incomes in the country. Manufacturing will contract as orders fall. Coastal property is correcting after years of prices rising faster than they made sense. Tourism will shrink. The state does not have the reserves to absorb a large shock

before it reaches ordinary families.

Senator Graham represents a state that needs what comes out of this chamber to actually work.

Alabama has Mercedes-Benz, Honda, and Hyundai plants, a steel industry, and Birmingham's financial sector. All of it is heading into contraction. The foreign car factories that came to Alabama over the past decade were built on steady American car buying. That is now falling. Senator Shelby chairs the Senate Banking Committee and has been questioning Wall Street's risk practices for years. He represents a state where the cost of those failed practices shows up in a plant in Lincoln, not in a boardroom in New York.

Maine runs on fishing, logging, tourism, and some manufacturing. It has no direct exposure to mortgage bonds or investment banking. It has full exposure to a recession. Maine also has one of the oldest populations in the country, which means a large number of people depending on retirement savings and pension funds that are shrinking right now in real time. Tourism will fall. Fishing and logging operations depend on credit that is getting tighter. Senators Snowe and Collins have both shown they can put the problem ahead of the party when the situation calls for it. Their state needs everyone in this room to do the same.

Oklahoma runs on oil, farming, and some manufacturing. The financial crisis hit it through falling commodity prices and tighter credit rather than any direct connection to mortgage securities. Oil prices dropping from July's peak hurt the energy sector fast. Farm credit is tightening across the state. Small businesses will feel the slowdown before it fully shows up in jobs numbers. Senator Coburn is one of the most committed small-government conservatives in this chamber and has built his public identity around opposing bailouts and government overreach. He is walking in today with no comfortable answer to the question this session is going to force him to answer.

Every state in this room is a version of the same situation. A family losing their house in Las Vegas. A factory shutting down outside Detroit. A farmer in Montana who cannot get a loan to harvest. A retiree in Maine is watching thirty years of savings shrink week by week. A construction worker in Phoenix who has not had steady work in eighteen months. These are the people the senators in this chamber are here for. Every decision made on this floor over the next few days is going to land somewhere specific, in someone's actual life. That is what is actually at stake.

Questions a Draft Resolution Must

Answer

1. Should Congress impose a statutory spending ceiling on Iraq and Afghanistan military operations given that eleven billion dollars monthly is being drawn from a Treasury simultaneously asked to absorb a domestic financial collapse, and what legislative mechanism enforces that ceiling against executive discretion?
2. What possible ratified policies and introductory actions will the Senate expedite on, in order to restore the value wiped from the stock market and other American indices with a definite expiration date in the coming future so as to ensure further deliberation and incorporate regulatory actions?
3. Should Congress force a formal reauthorisation vote on the Iraq War given that the original 2002 authorisation was passed on factual premises now publicly discredited, and does the resolution treat continued military spending as legislatively defensible in its current form?
4. What bill does this Senate pass to assess, monitor, and intervene in the remaining major financial institutions carrying toxic mortgage exposure, given that Bear Stearns, Lehman Brothers, Merrill Lynch, and AIG have all collapsed or required emergency rescue within six months and no legislative firewall currently exists to prevent the next institution from taking the entire system down with it?
5. In light of federal efforts to stabilize government-sponsored enterprises (GSE's) such as Fannie Mae and Freddie Mac, what immediate, time-bound legislative measures should Congress enact to directly assist American homeowners facing foreclosure, and should this include mandatory mortgage restructuring, federal refinancing guarantees, or a temporary foreclosure moratorium to stabilize

household balance sheets and restore confidence in the broader economy?

6. Does the Senate approve of the prolonged United States Military presence in the Iraq region and what specific indirect mechanisms such as conditional appropriations, funding cutoffs tied to withdrawal timelines, or statutory limitations under the War Powers Resolution along with other measures will this Senate put forward in legislation to pressure the executive into a phased withdrawal of U.S. forces from Iraq in alignment with growing public opposition to the war?

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